

6.2

# Time and Material

Understanding Time and Material Pricing Structure: In a time and material pricing model, also known as a labour-hour contract, the consulting firm charges the client based on the actual time spent by consultants and the agreed-upon billing rates for their respective skill sets. This model is suitable when the scope of work is unclear or subject to frequent changes, making it challenging to provide a fixed price quote accurately.

| Time Material Model                                                                     |                                                                                       |
|-----------------------------------------------------------------------------------------|---------------------------------------------------------------------------------------|
| Pros                                                                                    | Cons                                                                                  |
| Flexibility and Adaptability                                                            | Introduce uncertainty and risk for client                                             |
| Consulting firm can adjust the resources and effort based on the evolving project needs | The total cost is unknown upfront and may vary based on the required time and effort. |

## Billing Rates and Cost Structures



### Hourly Rates

Consultants are billed at pre-determined hourly rates based on their expertise, experience, and market conditions. These rates typically account for the consultant's salary, benefits, and profit margin for the consulting firm.

Benefits

Salary

Profit Margin

CONSULTANT

Hourly Rates

BILL



Experience

Market Conditions

Expertise



### Cost Structures

In addition to the consultant billing rates, the consulting firm factors in overhead costs, such as office space, technology, and administrative expenses, as well as potential risks and contingencies when setting the overall billing rates charged to the client.

Overhead Cost

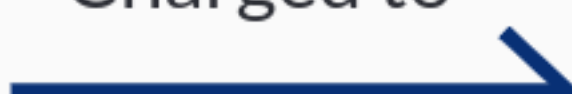
Office Space

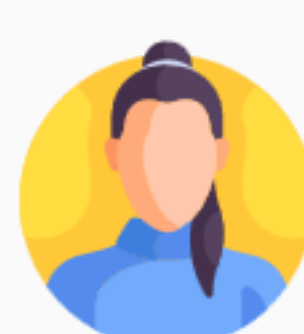
Technology

Administrative Expense

Potential Risks

Contingencies



CLIENT

191